

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-07

Impact Products, LLC *et al.*, Complainants v. CMA CGM S.A., Respondent

**RESPONDENT CMA CGM S.A.'S OPPOSITION TO
COMPLAINANTS' MOTION FOR LEAVE TO FILE AMENDED COMPLAINT**

Respondent CMA CGM S.A. ("CMA"), by counsel, opposes Complainants' Motion for Leave to File an Amended Complaint and to Extend the Discovery and Briefing Schedule (FMC Doc. No. 27) as follows:

SUMMARY

The Commission should deny Complainants' request because amendment would be futile and subject to the same grounds for dismissal as the original Complaint. Nothing in the proposed amendment cures the direct purchaser problem identified in CMA's Motion to Dismiss. Instead, Complainants seem to be trying to cure a bankruptcy problem that their proposed amendment does not actually cure. And it is a pleading problem, not a matter of evidence to be developed later.

When a debtor fails to disclose known claims (or an assignment of claims) in its bankruptcy schedules, the debtor is judicially estopped from prosecuting those claims, since such a failure is "equivalent to a statement that there were no such claims." *Stephenson v. Malloy*, 700 F.3d 265, 274 (6th Cir.2012). Complainants' motion thus begs a glaring question: Where in the bankruptcy schedules was this case identified as an asset such that it could be sold to a new party? The answer is that it was not, and assets that are not disclosed cannot be sold. Because this case was not disclosed under 11 U.S.C. § 521, the Bankruptcy Court did not approve a sale of it, and a third-party buyer has no more standing to pursue it than Complainants do now.

While unrelated to these flaws, CMA also is not responsible for Complainants' failure to file an opening brief. They should have filed an opening brief with facts in hand and sought leave to supplement if needed. CMA itself supplemented its discovery responses three times and worked with Complainants on a possible deposition multiple times, yet Complainants (not CMA) withdrew their deposition notice as overbroad and never refined the topics, even when they resent it at the last minute. It is not CMA's fault that they still have not filed anything to support their case.

LEGAL STANDARD

Under 46 C.F.R. 502.66, amendments to pleadings in the FMC "will be permitted or rejected, either in the discretion of the Commission or presiding officer." Commission rules do not, however, provide guidance for deciding whether to grant or deny a motion to amend. When Commission rules do not cover a specific situation, the Commission will follow the Federal Rules of Civil Procedure. *See* 46 C.F.R. 502.12.

The Federal Rule governing amended pleadings is Rule 15. Under Federal Rule 15(a), amendment should be freely granted when justice so requires. *See* Fed. R. Civ. P. 15(a)(2). Nevertheless, it is not automatic. Grounds to deny leave to amend include "futility of amendment, undue delay, bad faith, dilatory motive, undue prejudice, or repeated failure to cure deficiencies by previous amendments." *Bancoult v. McNamara*, 214 F.R.D. 5, 8 (D.D.C. 2003) (citations omitted); *Foman v. Davis*, 371 U.S. 178, 182 (1962). As the Eighth Circuit explained, "[a]lthough leave to amend shall be freely given when justice so requires, plaintiffs do not have an absolute or automatic right to amend. Futility is a valid basis for denying leave to amend." *United States ex rel. Lee v. Fairview Health Sys.*, 413 F.3d 748, 749 (8th Cir. 2005) (citations omitted). Further, "futility might warrant denial of leave to amend if amended complaint would be subject to dismissal." *Phelps v. Hamilton*, 166 F.R.D. 489 (D. Kan. 1996).

ARGUMENT

I. Complainants' Motion should be denied because amendment would be futile.

A. The Amended Complaint does not solve Complainants' indirect purchaser problem.

For reasons explained previously, Complainants cannot maintain their claims here because they are not direct purchasers. *See* Motion to Dismiss (FMC Doc. No. 17). Changing the complainant to yet a more distant party does not solve this problem, and amendment should be denied as futile on this basis alone.

B. The Amended Complaint does not solve Complainants' bankruptcy problems.

Complainants' motion also skips a vital analytic step: it never identifies where in the bankruptcy schedules this case was disclosed as an asset such that it could be sold to a new party, much less prosecuted now. *See* 11 U.S.C. § 521 (requiring disclosure of all causes of action, including non-bankruptcy litigation). Failure to disclose known claims in a bankruptcy case is “equivalent to a statement that there were no such claims.” *Stephenson*, 700 F.3d at 274. And CMA already reproduced excerpts of every schedule filed in the bankruptcy case, none of which identifies this case, with no correction by Complainants. *See* FMC Doc. No. 21.

To be clear, this is a pleading problem, not an evidentiary problem. Without a bankruptcy schedule showing that the buyer is entitled to bring this claim, or that the buyer also purchased the purported assignment from Laufer, the proposed amended complaint is facially deficient. Complainants must establish, not just suggest, that the new company is a proper party to bring this case, which they cannot do.

The reason for judicial estoppel in situations like this is that bankruptcy courts, bankruptcy creditors, and third-parties (like prospective bidders) rely on the accuracy of asset disclosures to make informed decisions. Courts have held that “the importance of this disclosure duty cannot be

overemphasized,” and “[d]isclosure is important ... not only to the bank as an adversary and as a creditor, but to the other creditors and to the bankruptcy court.” *Oneida*, 848 F.2d at 414 and 417. Thus, “[a]pplying judicial estoppel under these circumstances recognizes the importance of the bankruptcy debtor’s affirmative and ongoing duty to disclose assets, including unliquidated litigation interests.” *Kimberlin v. Dollar Gen. Corp.*, 520 Fed. Appx. 312, 314 (6th Cir. 2013).

Failure to disclose is not trivial, either. Imagine, for example, if Complainants had properly disclosed nearly \$3 million in collective FMC claims in their bankruptcy case here. Would the Bankruptcy Court have approved the sale of their assets for the price it did? Would creditors in the bankruptcy case have objected? Would other bidders have appeared? None of this can be known now, as all these parties, including the Bankruptcy Court itself, relied on the assets as disclosed before the sale.¹

Complainants cannot overcome their failure simply by exchanging themselves for the purchaser of their assets. They filed Chapter 11 Bankruptcy on May 21, 2024, after this case and other FMC cases were pending, then sought and obtained approval for a sale of their assets without disclosing any FMC cases. Changing the complainant does not fix this deficiency. Indeed, federal courts across the country have rejected claims based on the same kind of non-disclosure. *See, e.g., Kimberlin*, 520 Fed. Appx. at 314 (6th Cir. 2013) (applying judicial estoppel to bar undisclosed claim and rejecting plaintiff’s “affidavit alleging unintentional omission”); *Payless Wholesale Distributors, Inc. v. Alberto Culver (P.R.) Inc.*, 989 F.2d 570, 571 (1st Cir.1993) (judicially estopping debtor from asserting monetary claims that it omitted in its Chapter 11 bankruptcy

¹ CMA has asked Complainants where this case was disclosed in the bankruptcy case several times (including in CMA’s Supplemental Motion to Dismiss), with no response. In an effort to resolve the issue most expeditiously, it would be entirely appropriate for this Commission to issue a show cause order to Complainants, directing them to identify where in the bankruptcy schedules this case was disclosed *before the asset sale*.

schedules); *Oneida Motor Freight, Inc. v. United Jersey Bank*, 848 F.2d 414, 415 (3d Cir.1988) (affirming a trial court’s order dismissing claims that the appellant failed to disclose in a bankruptcy proceeding).

Complainants also cannot overcome their failure by pointing to catch-all language about “all assets” in the asset purchase agreement with TZ SSE Buyer, LLC (“TZ SSE”). Complainants incorrectly argue that, “[TZ SSE] purchased and is now the owner of *all Complainants’ assets*... including the claims at issue in this proceeding.” *See* FMC Doc. 27, p. 2 (emphasis added). Boilerplate language in an asset purchase agreement cannot overcome the disclosure requirements of 11 U.S.C. § 521, nor can it avoid the rule of law that failure to disclose known claims is the “equivalent to a statement that there were no such claims.” *Stephenson*, 700 F.3d at 274.

Complainants also failed to disclose the assignment from Laufer with which they attempt to end-run the direct purchaser rule. This makes their instant motion doubly problematic—not only would this Commission have to overlook their failure to tell the Bankruptcy Court about their FMC claims, but the Commission would also have to overlook their failure to tell the Bankruptcy Court that they received a purported assignment of those claims without disclosure or permission, and then *assume* both assets (the claims and the assignment) were nonetheless sold to TZ SSE—an apparent \$3 million windfall when counting Complainants’ other FMC cases. The law does not allow this. Because Complainants failed to disclose these assets in their schedules, the Bankruptcy Court never knew about them, much less approved of a sale of them to TZ SSE, and any amendment here would be futile.

II. The discovery deadlines and briefing schedule should not be extended.

Complainants’ contention that CMA is responsible for their inability to file an opening brief is also incorrect. As noted in other filings, CMA supplemented its discovery responses three times and engaged in multiple discussions during the discovery period as to a potential corporate

deposition. Complainants agreed with CMA to withdraw their overbroad deposition notice and narrow the topics in exchange for an extension of deadlines. However, after CMA agreed to the extension (and just days before the discovery cutoff), Complainants submitted the same notice to CMA again with no change in the scope of inquiry. Complainants also went silent when CMA requested information about their bankruptcy case.

CMA's motions also have nothing to do with Complainants' opening brief. Complainants were required to file an opening brief regardless of other motions in the case. As the Scheduling Order states, "motions and settlement discussions will not automatically stay other deadlines in the proceeding." FMC Doc. 10. Complainants presumably perceived they had some factual support when they filed this case originally, yet to date, they still have not submitted anything to show it. Their untimely request for an extension should be denied.

CONCLUSION

For all these reasons, CMA requests that the Commission deny Complainants' Motion for Leave to File an Amended Complaint and to Extend the Discovery and Briefing Schedule.

Dated: September 30, 2024

Respectfully submitted,

/s/ W. Ryan Snow

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